

Sector	Digitization	Formalization	New Opportunities	Policy
Financial Services	-Moderate impact leading players well invested in digital -Shot in arm for digital channel for product delivery -WFH & automation to drive down cost & improve efficiency	-Consolidation by stronger players in NBFC & AMC space -Private sector bank's lead over PSB's set to increase -Consolidation by govt. likely to followed by privatization	-Life and health insurance industry set for strong growth as India has India's insurance penetration is less than 5% -India's share of out of pocket health expense is high (65%)	-Excessive liquidity to the tune of ~INR 7 Trillion w/o investment avenues to adversely impact earnings -Moratorium to adversely impact ALM & recovery
IT Services	-Moderate Impact as industry is agile & well digitized -WFH & automation to drive down cost & improve efficiency	Top 4 (TCS, Infosys, HCL, Wipro) to further consolidate their share as ahead in digital services and have strong balance sheets	-Digital services- Cloud solutions, cyber security & automation -Indian & developing market to emerge as big markets	-WFH, digital payments & digital delivery channel received big push from govt. -Restricted travel & nationalism
Energy	-Slightly negative impact due to WFH & travel restrictions -Heavy investment required in operations automation in areas like maintenance, logistics etc.	-Consolidated sector to high barriers to entry -Privatization to be accelerated	No new major opportunity	-Heavy taxation to hurt profits -Privatization of sector to drive efficiency & competition in largely govt. controlled sector
FMCG	-E-retail & formal retail to have substantial share (~20%-25%) -Labour shortage to drive automation -Sharpening digital capabilities in analytics & marketing key	-Large players lose 15-20% share due to supply chain disruption -Digital only players likely to emerge in near future -Existing players partially ready for transition to online	-Evolved hygiene to give boost to products like sanitizers & emergence of new categories such as F&B cleaners -Packaged food to get boost -Immunity products to get boost	-Agri reforms to enable food product companies to directly work with farmers leading to lower cost & faster turnaround time

Sector	Digitization	Formalization	New Opportunities	Policy
Building Materials and Real Estate	-Digital sales channel to move out of infancy across the sector -Industry ripe for Manufacturing 4.0; IoT, Digital twins, AR&VR -WFH & e-commerce to change commercial space dynamics	-SCM disruption and funding issues to push out smaller unorganized players -Customer trust & quality perception to benefit established players	No new major opportunities though some players trying to make inroads in loosely connected sectors (Asian Paints entering sanitizers)	-Rural & affordable housing to be key drivers for the industry due to govt. support -Infra spending by govt. to remain due to fall in tax revenues
Auto	-Automation of factories -Development of digital channel -CV segment to remain muted due to WFH & social distancing	Consolidated sector with high barrier to entry, though long tail in PV sector to further consolidate	-Subscription model as people avoiding public transport -Manufacturing of ventilators in partnership with smaller players	Agri reforms and increase in MSP & govt. procurement to push rural sales
Telecom	-WFH, digital first & OTT to lead to exponential rise in data cons. -Rapid rise E-commerce & digital advertising to boost business	Highly consolidated sector with 3 players though Jio and Airtel likely to increase lead over Vodafone Idea	Digitalization of SMEs in India and rising fixed broadband demand due to WHF presents new avenues for telecom	No major policy change post Covid 19
Pharma, Pesticides & Fertilizers	-Use of technologies such as digital twins can transform Indian companies from generic bulk manufacturers to research led companies -Development of digital sales channel especially in rural areas	-Limited scope for consolidation as sector was largely not impacted to Covid 19 disruption -Top 5-7 players likely to consolidate share on back of backward integration & strong B/S	-India set to become global hub for API & AI manufacturing hub as the industry set to move out of China due to rising costs and stringent environmental regulations	-Govt. setting up bulk drug parks & giving production linked incentive to companies -India set to impose additional duties on chemical imports -Nationalist sentiment in West; Move operations outside India

Sector	Digitization	Formalization	New Opportunities	Policy
Retail	-Digital to be dominant channel across categories (20-30%) -Incumbents to invest to digitize SCM , marketing, R&D etc. -WFH to reduce O/Hs cost	Organized sector to increase share as smaller players come under pressure due to liquidity issues & inability to shift to new ways of working (12 season from 4 seasons)	Rise of new categories such as face masks, anti-bacterial wear	No clarity on settlement of dispute around rentals and multiple guidelines on reopening of retail places to hurt sector
Media & Entertainment	-OTT set to become the mainstay channel for exhibition -Improving tele density & cheap data; growth of social media	-Influx of new players as the sector has low barriers to entry -Incumbents quickly transitioning to maintain lead	-Strong push towards monetization -Regional content set to witness uptick	No visibility of opening of others sources of entertainment such as movie theatres, adventure parks set to in-home entertainment
Healthcare	-Telemedicine emerging as a viable alternative -Robotics & AI set to revolutionize the sector	Large organized players in hospital and diagnostic space to gain as people become more conscious towards healthcare	Indian healthcare segment needs ~INR 1.5 Bn. investment to reach global standards	Govt. likely to increase spending on healthcare and provide incentive to private sector
Education	-Distance/Online learning is the new normal across levels -Reinforced focus on learning & skill development among professionals & corporates	-Large institutions and online players set to gain major market share due to their ability to invest in digital infrastructure. -Small unorganized players forced out of market	-Focus on skill based education -New areas emerging due to rise of new age technologies such AI, ML, Quantum computing etc. -New delivery model for ensuring holistic development	-Flexibility to top 100 educational institutes to deliver online degrees a big push -TV based classes for all children to open new opportunities